FALLEN EMPIRES

Tipsy Elves: the deal sheet

Source-checked facts only. Not investment advice.

The deal

- Company: Tipsy Elves (ugly Christmas sweaters), founded 2011 by Evan Mendelsohn (lawyer) and Nick Morton (endodontist).
- Shark Tank US air date: December 13, 2013.
- Robert Herjavec: $100,000 for 10% equity, accepted. Implied valuation: $100,000 ÷ 10% = $1,000,000 (computed).
- Kevin O'Leary's competing offer: $100,000 as a royalty ($2 per sweater until repaid, then $1 per sweater), no equity.
- Before the show: about $370,000 in web sales in year one, nearly $1 million the next year (NYT 2012, Internet Retailer 2013).
- Later: site reported at over $70 million in sales and 2 million+ products sold (Business Insider, 2018).
- Not confirmed, so left out: the original ask, season/episode number, whether the deal closed after the show.

3 things to notice

1. They proved demand online before pitching: sales were already near $1M.
2. Two offers, same cash: equity (Herjavec) versus royalty (O'Leary). The structure decides what the founders keep.
3. A seasonal product built a year-round story: the numbers grew across years, not one winter.

2 mistakes to avoid

1. Quoting lifetime sales from promotional interviews as fact: figures vary ($50M, $70M, $125M+) depending on source and year.

2. Confusing sales with valuation: $70M in sales is not a $70M company value.

Glossary

- **Equity**: a slice of ownership in a company.
- **Royalty**: a fixed cut of each sale, paid whether or not the company is profitable.
- **Valuation**: investment ÷ share received (here $100,000 ÷ 10% = $1M).

Sources: en.wikipedia.org/wiki/Tipsy_Elves · looper.com/936146 · realityblurred.com (2014) · Business Insider (2018).

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